deposited with RBI. This reserve is a precautionary measure. It prevents bank from lending all its deposits which is too risky and it is mandatory under Banking Regulation Act 1949. The ratio is 25 – 40 per cent of Net Time and Demand Deposits. This reserve was to be kept in the form of cash, gold, and bond. As in the case of CRR, this reserve is varied to control the credit. Now the floor and ceiling of 25–40 per cent is removed.

CC.1.B. Non-Conventional Measures

The non-conventional measures are Liquidity Adjustment Facility (LAF), Marginal Standing Facility (MSF) and Market Stabilisation Scheme (MSS).

CC.1.B. 1. Liquidity Adjustment Facility (LAF)

It is a short term credit control measure. It is to absorb the excess liquidity (money supply). It has two instruments, namely Repo rate and Reverse Repo rate.

CC.1.B. 1. i. Repo Rate

It is the rate at which commercial banks borrow from RBI by mortgaging their dated Government securities and Treasury bills. If repo rate is increased, the banks have two options either to reduce the borrowing from RBI or borrow at higher rate from RBI and charge higher interest rate from customer. If banks borrow fewer amounts, the credit creating capacity of banks will come down and money supply will come down. If bank borrows and charges higher interest rate, the customer will borrow less. The money supply will come down. If the repo rate is decreased the reverse will be the case.

Take an example; the repo rate is 6.5 per cent and the banks borrow from RBI at this rate and raise deposits at 4.0 per cent of interest from customers. Deposit is also a source of fund for banks to lend. Assume